

donation is worth more than \$5,000, you'll need to get a professional appraisal.

You can also deduct some of the expenses you incur when you do volunteer work. If you volunteer at a senior center on weekends, for example, you can deduct some of your transportation costs as long as there's no significant element of recreation or vacation in the travel.

If you get any "benefit" (theater tickets, a tote bag, a meal) in exchange for a contribution, you can deduct only the amount of your donation that exceeds the value of the benefit. Say you pay \$200 to attend a fund-raising dinner for the Save the Lizards Foundation and the actual value of the dinner is \$50; you can deduct \$150 on your tax return. The receipt you get from your charity should specify any such "benefits" you have received.

- **Housing costs.** If you own a home, you can deduct the interest you pay on your mortgage. (You cannot deduct the portion of your mortgage payment that goes toward paying off the principal.) You are also allowed to fully or partially deduct the premiums on your private mortgage insurance, provided you earn less than \$109,000 a year and you bought your home in 2007 or 2008 (but not before).

Also, in the year you buy a home, you may be able to deduct the points, even if these points were actually paid by the seller of the home. (See Chapter 7 for an explanation of points.) If you live in a co-op building, the co-op might pay interest on a mortgage for the building. If it does, find out what your share of this interest is; you may be able to deduct it.

Some Trickier Itemized Deductions

Certain expenses are deductible only in specific situations. Here are some of those deductions. Again, remember that some are not available to taxpayers with very high incomes. Check a current tax guide for details.